Changes and Impact: Indian Economy

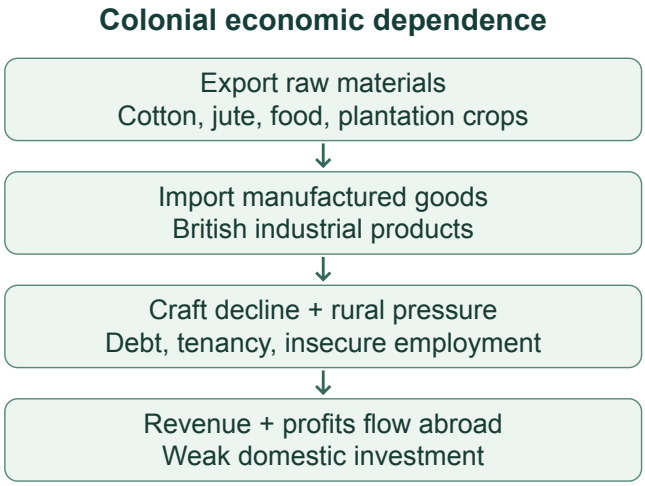
The central change: commerce backed by state power

Trading company → territorial power → colonial economy. Company revenue and policy increasingly served British trade, industry and imperial administration rather than Indian producers' welfare.

The East India Company used **joint-stock capital**, government-backed monopoly, warehouses ('factories', run by 'factors') and forts. A factory was principally a trading station, not necessarily a manufacturing plant. Political power enabled coercive purchase, special privileges, elimination of rivals and collection of land revenue.

Charter: formal grant defining an institution's rights. The **1600 royal charter** was issued by Elizabeth I; it was not an Act of Parliament. Later parliamentary Charter Acts renewed and changed the framework.

Buy cheap, sell dear: restrict rival buyers, dictate terms to producers and sell abroad at a profit. After **Plassey (1757)** and **Diwani (1765)**, Indian revenues increasingly financed export purchases ('investments') and further wars, reducing the need to bring bullion from Britain.



Colonial economic dependence

Phases of colonial economic policy

These are interpretive periods associated with **R. Palme Dutt**, not rigid boundaries for every region. The source's third-phase label 'fiscal capitalism' should normally be **finance capitalism**.

Phase	Period	Dominant mechanism
Pre-territorial commerce	**1600-1757**	Bullion/goods brought to buy Indian manufactures; competition between European traders
Merchant / mercantilist phase	**1757-1813**	Monopoly, tribute/plunder, revenue-financed export of finished Indian goods
Industrial / free-trade phase	**1813-1858**	India as market for British manufactures and supplier of raw materials

Phase	Period	Dominant mechanism
Finance-capital phase	**1858-1947**	Investment, debt and remitted returns in railways, plantations, mining and related sectors

1813: Indian-trade monopoly ended except tea and China trade. **1833:** remaining commercial monopoly ended; Company became an administrative agency. Land revenue had already become crucial after 1765; the shift did not begin only in 1833.

Britain's Industrial Revolution is conventionally dated **c.1760-1840**. Manufacturers sought markets/raw materials and attacked monopoly. Adam Smith's **Wealth of Nations (1776)** promoted free-trade arguments. Lancashire/Manchester and Paisley (in Scotland, not England) were important textile centres.

Procurement, coercion and decline of indigenous enterprise

Term / change	Meaning and impact
Dadni merchants / dadan	Indian intermediaries procured goods and supplied advances to artisans
Gomasthas (from **1753** in the supplied account)	Paid Company agents supervised procurement; coercive power grew after Plassey
Direct agency (**1789**)	Company bypassed more Indian middlemen
Khatbandi	Advance-based contracts tying weavers to Company supply; restrictions and penalties reduced freedom to sell
Ryoti / asamiwar indigo	Peasant grew indigo on own land/resources for planter under advance/contract; distinct from revenue **Ryotwari**
Nij cultivation	Planter's directly managed land; compare with ryoti
Sarrafs	Bankers/money changers; indigenous banking networks lost influence as European institutions expanded

The source reports **1789** regulations imposing a **35% default penalty** on advances; retain this as a specific textbook account, not a universal rate for all weavers. Indigenous houses such as the **Jagat Seths** lost state-banking influence after Company revenue control. Competition was restricted: producers could be forced to buy inputs and sell output on Company terms, while rival merchants were blocked from bidding higher.

Consequences: reduced prices/incomes, debt, abandonment of crafts, weaker capital accumulation and technological investment. Loss of princely patronage damaged luxury crafts, arms and court artisans. The distinction between public Company monopoly and employees' private trade explains why officials could grow wealthy while the Company faced financial crisis.

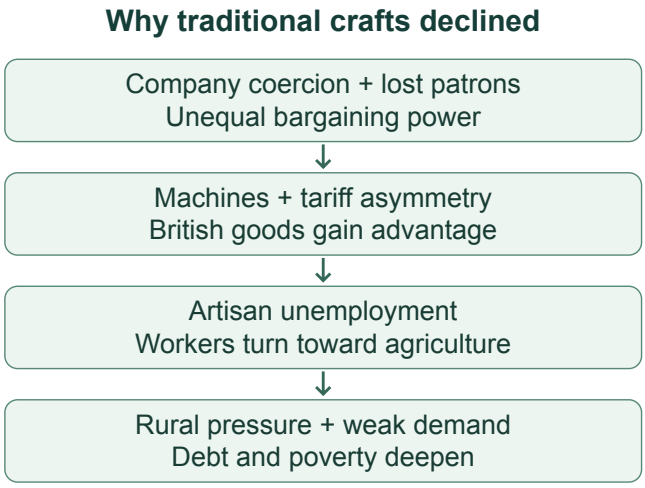
'Free trade' and deindustrialisation

Deindustrialisation: decline of traditional manufacture and artisanal employment relative to earlier importance; not disappearance of every craft or denial that modern mills later emerged.

Cause	Mechanism
Political coercion	Dictated prices and compulsory contracts

Cause	Mechanism
Machine-made competition	British goods undercut labour-intensive production
Asymmetric tariffs	British protection against Indian textiles, while India opened to British manufactures
Loss of court demand	Annexation reduced elite/artisanal patronage
Colonial infrastructure/freight	Favoured export-import routes and overseas inputs
Raw-material export / cheap dyes	Affected input availability and traditional dyeing
Weak technical/capital support	Limited broad industrial upgrading
Changing elite demand	Some consumers adopted imported styles; not every educated Indian rejected Indian goods

Illustrative textbook figures: in **1824**, duties on Indian calico **67.5%**, muslin **37.5%**; cotton-cloth exports to Britain fell from about **£1.3 million to £0.1 million during 1815-32**, while cloth imports rose sharply. These describe textile trade; India did **not** therefore lose every overall merchandise-export surplus. Export surpluses could instead finance the drain.



Why traditional crafts declined

Ruralisation / peasantisation: displaced artisans sought work on land → rising pressure on agriculture and underemployment. Decline of centres such as **Dhaka, Surat and Murshidabad** weakened the craft-agriculture exchange and village livelihoods. Effects differed by region, occupation and period.

Land-revenue experiments: before the three settlements

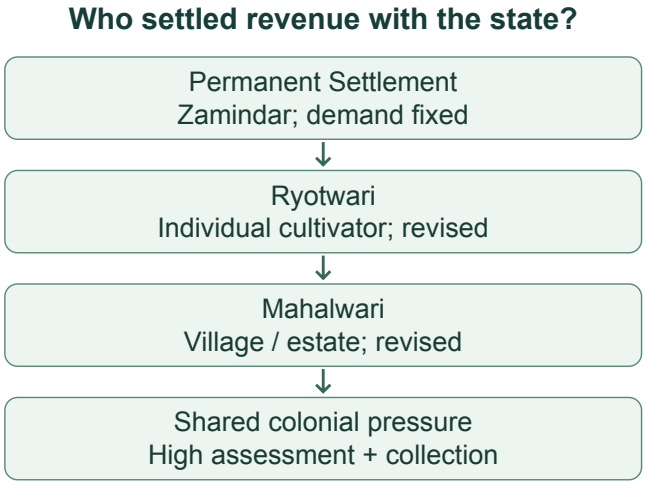
Date	Development
1757	Company obtained zamindari rights in 24 Parganas
1760	Burdwan, Midnapore and Chittagong revenue rights from Mir Qasim
1765	Diwani of Bengal, Bihar and Orissa

Date	Development
1765-72	Dual government; Naib Diwans **Muhammad Reza Khan** (Bengal) and **Raja Shitab Roy** (Bihar)
1769-70	Bengal famine; colonial exactions and weak relief aggravated harvest crisis; mortality estimates are uncertain
1772	Warren Hastings ended dual government; Company revenue management, collectors and Calcutta treasury; five-year farming auction
1777	Annual revenue-farming arrangements replaced the five-year settlement
1784-86	London pressed for a stable settlement; Cornwallis arrived in 1786
1789-90	Decennial settlements prepared in different provinces
1793	Decennial demand declared permanent

A **revenue farmer** was a contractor bidding for collection rights, not necessarily a cultivator. Short tenure encouraged extraction rather than investment; benami bidding, corruption and unreliable collection hurt both peasants and fiscal stability. Hastings was Governor of Bengal in 1772; the Governor-General office followed the 1773 Act.

Permanent, Ryotwari and Mahalwari: compare first

Feature	Permanent Settlement	Ryotwari	Mahalwari
Main figure / landmark	**Cornwallis, 1793**	**Alexander Read, Thomas Munro; 1792 experiments, 1820 Madras extension**	**Holt Mackenzie, 1822; revised 1833**
Settlement party	Zamindar	Individual ryot	Mahal: village/estate, often co-sharers collectively
Revenue demand	State jama fixed permanently	Periodically revised, commonly 20/30 years	Periodically revised, commonly 30 years under revised arrangements
Collection	Zamindar collected rent and paid state	Direct state assessment of individual fields	Through headman/lambardar with collective responsibility
Main regions	Bengal/Bihar; parts of Orissa, Benaras and some southern zamindari areas	Mainly Madras/Bombay; also other areas under variants	North-Western Provinces; later Punjab/Central Provinces
Main danger	Rents not fixed although state demand fixed	Heavy assessment and direct official coercion	Heavy joint demand, dispossession and repeated revision



Who settled revenue with the state?

The source's coverage **19% / 51% / 30%** is a commonly repeated textbook approximation for later British India, not an invariant map for 1793 or 1822. Avoid listing all eastern Bengal as Ryotwari or all northern Karnataka as Permanent Settlement without qualification.

Permanent Settlement in detail

Purpose: predictable revenue, simpler collection, an allied landed class and an incentive for landlords to improve cultivation. **John Shore** treated zamindars as proprietors; **James Grant** stressed state ownership/revenue rights. Cornwallis's settlement gave zamindars hereditary, transferable interests, conditional on payment.

- State demand permanently fixed at a high initial assessment; classic description: **10/11 to the state, 1/11 retained by zamindar** of the assessed rental basis. This is **not 10/11 of every year's harvest**. The source also quotes 89/11, which is numerically inconsistent with 10/11.
- The supplied aggregate jama figure is **₹2 crore 68 lakh**; distinguish the historical assessed total from individual rents.
- **Sunset rule:** default by the stipulated deadline could lead to estate auction. Many old zamindars lost estates; absentee purchasers and **subinfeudation** (layers of rent-receiving intermediaries) grew.
- **Peasant rents were not permanently fixed.** Tenants lost security/customary protections, faced abwabs (extra cesses), rack-renting, debt and eviction. The rent rules of **1793/1799** strengthened landlord enforcement.
- Limited occupancy-tenant protection followed under the **Bengal Rent Act, 1859**. Permanent Settlement remained in force; failure of its welfare aims does not mean the legal system simply ceased to exist.
- Rising prices/productivity later increased landlord rents without increasing the state's fixed jama; officials questioned permanent settlement by **1811**.

Assessment: state certainty and landlord wealth did not automatically produce investment; initial demand was often too high, rent extraction easier than improvement, and tenants bore insecurity.

Ryotwari in detail

1792: Read's Baramahal experiments, with Munro's role; **1820:** Munro became Madras Governor and promoted wider Ryotwari settlement. Bombay adopted related arrangements in the **1820s** (the source gives 1825); extension varied, not one uniform system everywhere.

- Ryot recognised as landholder subject to paying revenue; field survey, soil quality, area and productive capacity were supposed to determine demand; pattas recorded rights/liabilities.
- Actual assessment could rely on previous payment ('putcut assessment'), with incomplete surveys, excessive rates and coercive collection. The source quotes **45-50%**, but the assessed base and region must be specified rather than treating it as a uniform share of gross produce.
- Officials increasingly treated revenue as state 'rent'; ownership remained conditional, and land could be seized for default. Credit dependence on **chetties/moneylenders** grew.
- **Madras Torture Commission:** appointed **1854**, report **1855** documented coercive practices.
- Revenue pressure and poverty increased vulnerability to famines; correct the source's '1867-78 Madras famine' to the **1876-78 Great Famine**. Drought and relief/distribution failures also mattered.

Mahalwari in detail

Mahal = revenue estate, commonly a village or group/part of villages, not necessarily a jagir. Collective co-sharers/headman dealt with the state.

- **1819:** Holt Mackenzie's minute; **Regulation VII, 1822:** survey, rights records and village-based settlement. The source quotes initial demands of **80% or 95% of rental value**, illustrating harsh assessments.
- **1833 revision under Bentinck:** lower demand (source **66% of rental value**), longer settlements, field maps/registers and village adjustments.
- **Robert Merttins Bird** supervised settlement work; **James Thomason** (Lieutenant-Governor **1843-53**) carried it forward. **1855:** Saharanpur Rules reduced the benchmark to about **50% of net rental assets**; practice varied.
- Dispossession, indebtedness and resentment contributed to north-Indian rural mobilisation in **1857-58**.

Geography correction: Awadh annexation **= 1856**, not 1858; North-Western Provinces = 1836; later administrative association with Oudh and the **1902 United Provinces** name must not be projected backward.

NCERT: Ruling the Countryside; original Permanent Settlement Regulation.

Common agrarian effects

High cash demands, rigid collections during crop failure and commercialised land rights → distress borrowing → sale/mortgage/auction → moneylender/landlord power → eviction and agricultural labour.

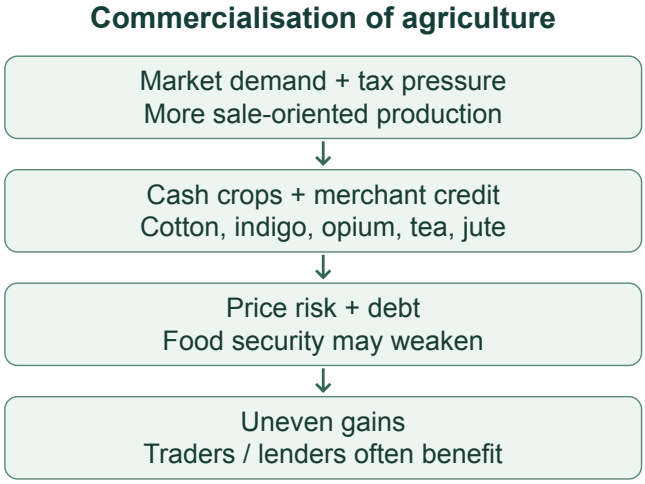
- Old landed elites often lost estates; new rent-receiving groups and absentee landlords emerged.
- Peasants/subtenants lost customary security; village institutions weakened as formal courts and collectors took over functions.
- Low investment, limited relief and indebtedness worsened agricultural stagnation. Land became more marketable legally, but high burdens could reduce its value economically.
- Famines and revolt were not caused by revenue policy alone; combine climatic shocks, purchasing power, crop choice, war, distribution and relief failures.

Commercialisation of agriculture

Meaning: production for market rather than household consumption. It existed before colonialism; colonial rule intensified it under unequal market power and fiscal pressure.

Crops: indigo, raw cotton, raw silk, opium, tea, sugar and pepper. British industry wanted inputs and exports that would not compete with its manufactures. Tea plantations used hired/indentured labour; indigo **ryoti/asamiwar** tied peasant land and labour to planter contracts.

Triangular trade: India (opium/cotton and revenue) → China (tea/silk) → Britain (sale/profits). Calcutta, Canton and London were key centres; 'tea directly bartered for all exports' oversimplifies financing through merchants and silver.

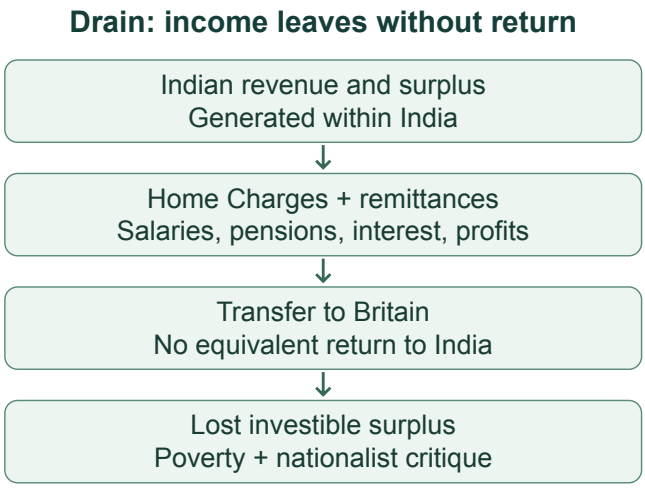


Commercialisation of agriculture

Effects: forced advance contracts and low prices, debt, food-crop displacement in some areas, global-price risk and limited producer gains. **Bundelkhand after 1816:** cotton expansion followed by falling export prices in the 1830s while tax remained heavy; this fed distress and the **Bundela rebellion, 1842**. Commercialisation could create markets, but without secure rights/productivity growth it often increased vulnerability.

Drain of wealth

Drain = transfer of Indian resources abroad without an adequate economic return to India, reducing domestic consumption and capital formation. It is not identical to every import, every foreign investment or all ordinary trading profit.



Drain: income leaves without return

Channel	Example
Revenue-financed export purchases	Indian taxes bought goods exported without corresponding bullion inflow
Home Charges	India Office costs, British salaries/pensions, debt interest, stores and related metropolitan obligations
Private remittances	Officials' savings, profits, illicit gains sent abroad
Returns to overseas capital	Interest/dividends, including railway guarantees; assess productive returns separately
Service payments	Shipping, banking and insurance payments under colonial dependence

Result: reduced Indian savings/employment potential and industrial finance; capital accumulated abroad, some returned as interest-bearing finance. Territorial expansion itself was funded by Indian taxpayers.

Critics: Dadabhai Naoroji, **R.C. Dutt**, Ranade, G.V. Joshi, D.E. Wacha, G. Subramania Iyer, G.K. Gokhale and Prithwis Chandra Ray. **Amrita Bazar Patrika**, Hindustan Review and Kayastha Samachar criticised extraction/foreign-capital dependence. Marx used the 'bleeding' image; John Sullivan compared the fiscal mechanism to a sponge drawing resources from India toward Britain.

Nationalist economic critique: people and dates

Person / event	Recall
Dadabhai Naoroji (1825-1917)	Grand Old Man; drain argument, Indian representation and later swaraj
2 May 1867	Presented *England's Debt to India* to the East India Association
1901	*Poverty and Un-British Rule in India*; drain theory developed earlier, not first invented in 1901
1906 Calcutta Congress	Naoroji's swaraj demand; avoid the unsupported claim that drain theory was first accepted only in 1896
Romesh Chunder Dutt (1848-1909)	ICS officer, writer, economic historian; **not** simply a Marxist as one source passage labels him

Person / event	Recall
1899	Dutt presided over Congress
1900	*Open Letters to Lord Curzon on Famines and Land Assessments in India*
1902	First volume of *The Economic History of India*; second volume followed in 1904
M.G. Ranade	Urged productive industry and domestic capital

Moral drain: exclusion of Indians from positions of responsibility, limiting administrative experience and confidence. Critics examined **trade, industry and finance**, expensive military administration and railway subsidies; helped turn poverty from an alleged natural condition into a question of colonial policy. Nationalist views were not identical on every investment or remedy.

Infrastructure and modern industry: motives versus effects

Development	Date / correction
Grand Trunk Road improvement	Work from **1839**, continued in the 1850s; route existed long before British reconstruction
First commercial passenger railway	**16 April 1853**, Bombay-Thane, GIPR; earlier industrial lines existed
Eastern passenger railway	**15 August 1854**, Howrah-Hooghly; extended to Raniganj **3 February 1855**, not full 120-mile service in 1854
Postage stamps	**1852 Scinde Dawk** under Bartle Frere; all-India issues/postal reform **1854** under Dalhousie
Telegraph	Early experimental Calcutta-Diamond Harbour line **1850-51**; longer network/public services expanded **1853-54**; W.B. O'Shaughnessy key
Press	Portuguese printing in Goa from **1556**; **Hicky's Bengal Gazette, 1780**, first printed newspaper in India

Railway guarantee: early private companies commonly received **5% guaranteed returns**, land and support from Indian revenues; encouraged high cost/import dependence and remitted payments. Not every railway for all time used the same contract.

Imperial purposes: distribute British goods, export raw materials, invest British capital and move troops/control distant areas. **Other effects:** technology/skills, market integration, travel, migration and national political networks. Class/racial differences remained; railways did not put every class in an identical compartment.

Later shift: state construction increased from **1869**; private participation renewed in the **1880s** under changed arrangements. Source's **c.6,000 km by 1869 / c.45,000 km by 1905** are rounded later-network comparisons, not chapter-era achievements.

Indian Railways eastern-line chronology; India Post: first stamp.

Modern industries and new classes

Industry / enterprise	Landmark
Tea	Assam Company **1839**; plantation capital/labour
Cotton	Early Calcutta-area mill **1818**; successful Bombay mill promoted by **Cowasji Nanabhoy Davar, 1854**; source's 1853 date is inaccurate
Tata textiles	Central India company **1874**; **Empress Mills, Nagpur, 1 January 1877**
Jute	**1855**, George Acland's Rishra mill near Calcutta; British capital prominent
Birla jute	**1919**, Indian enterprise entered the industry; expanded further in the 1940s
Iron/steel	**TISCO incorporated 26 August 1907**; pig iron **1911**, first steel **16 February 1912**, not 1913

Jamsetji Nusserwanji Tata (J.N. Tata) conceived the steel project; he was not 'the son of Jamsetji Tata'. After his death in 1904, **Dorabji Tata and associates** carried it forward. Later steel developed at Bhadravati and in Bengal.

Tata steel foundation and first production; Empress Mills; Bombay mill history, Maharashtra Gazetteer.

New groups: merchants/bankers/moneylenders, landlords, Indian industrial capitalists, wage workers and educated professionals. Parsi/Gujarati entrepreneurs were important in Bombay cotton. Ranade, K.T. Telang, Pherozeshah Mehta and Lala Lajpat Rai promoted enterprise/banking. **Swadeshi, 1905**, strengthened indigenous industry, but Indian modern industry predated it. Later multinational examples in the source span colonial and post-independence periods; **Ashok Leyland (1948)** is not a pre-1947 colonial enterprise.

PYQ and mains recall

Prelims: Imperial Preference = privileges for British imports; Home Charges = India Office and British salaries/pensions (2011: **1 and 2**, not all foreign-war spending). Ryotwari = direct settlement, pattas and field survey; Read + Munro (2017). Commercialisation (2018) and craft decline (2020) are key effects.

Source-key corrections: the printed 2011 Home Charges answer '1 only' omits statement 2; correct **1 and 2**. The 2012 'introduced by the English' list includes practices/crops already present under earlier rulers/Portuguese, so **none**. Full questions/options and available answers are in the common PYQ JSON.

Mains routes:

- **Drain:** define → channels → lost capital/consumption → nationalist critique → distinguish ordinary trade.
- **Deindustrialisation:** coercion + technology/tariffs + lost patronage → artisan unemployment → rural pressure and weak demand → uneven regional survival/new mills.
- **Railways:** imperial motives and guarantee costs → economic integration/technology → qualify a purely positive or purely negative verdict.
- **Agrarian transformation:** compare settlement parties and revision → property/credit changes → debt, tenancy, labour and revolt.

Core assessment: limited modern infrastructure and enterprise emerged within a colonial structure that subordinated economic choices and distributed gains unequally.